



MASENO UNIVERSITY
UNIVERSITY EXAMINATIONS 2019/2020

**THIRD YEAR FIRST SEMESTER EXAMINATIONS FOR THE
DEGREE OF BACHELOR OF SCIENCE IN AGRIBUSINESS
MANAGEMENT WITH INFORMATION TECHNOLOGY**

MAIN CAMPUS

AAB 301: FINANCIAL ACCOUNTING II

Date: 29th November, 2019

Time: 12.00 - 3.00 pm

INSTRUCTIONS:

- Answer ALL question in SECTION A and any other TWO questions from SECTION B



**MASENO UNIVERSITY
UNIVERSITY EXAMINATION**

FIRST SEMESTER, 2019/2020 ACADEMIC YEAR

**THIRD YEAR, END OF SEMESTER EXAMINATION FOR THE DEGREE OF
BACHELOR OF SCIENCE WITH IT**

AAB 301 – FINANCIAL ACCOUNTING II

STREAMS: Y3S1 BSc Agribusiness Management with IT
DAY:

TIME: 3 HOURS

INSTRUCTIONS:

- i) Answer **ALL** questions in Section A and **ANY TWO** questions in Section B
- ii) Each question to appear on a new page.
- iii) Answer the questions concisely with keen attention to the marks allocated per question.

SECTION A: [30 MARKS]

Question one

- a) Mention the key differences between operating and financial leases.
(6 marks)
- b) Define the following terms as used in lease accounting:
 - (i) Minimum lease payments (2 marks)
 - (ii) Fair value (2 marks)
 - (iii) Finance charge (2 marks)
- c) In hire purchase accounting, the hire purchase interest can be allocated to the accounting periods using three methods. Briefly explain. (9 marks)
- d)
 - (i) Describe the characteristics of a partnership (4 marks)
 - (ii) Outline some of the circumstances under which a partnership arrangement may be dissolved. (5 marks)

SECTION B: [40 MARKS]

Question two

The following list of balances at 31st March 2010 was extracted from the books of GB limited:

	KES
Ordinary share capital – ordinary shares of sh.1 each, fully paid	2,000,000

Share premium account	200,000
Retained earnings at 31 st March 2009	150,000
Cost of goods sold	3,500,000
Rates, light and heat	114,000
Telephone and postage	56,000
Salaries	210,000
Directors' emoluments	120,000
Motor vehicle expenses	241,000
Sales	5,000,000
Debtors	217,000
Stock in trade, at cost	380,000
Freehold property, at cost	1,400,000
Fixtures and fittings, at cost	1,200,000
Provision for depreciation	720,000
Motor vehicles, at cost	800,000
Provision for depreciation	160,000
Balance at bank	70,000
Creditors	78,000

Additional information:

- (a) The authorized capital of GB Ltd. is Sh.2,500,000
- (b) The company's freehold property was valued at Sh. 1,900,000 on 31st March 2010. The company's board of directors has decided that this valuation should be reflected in the accounts.
- (c) (i) Rates, light and heat charges prepaid at 31st March 2010 amounted to sh. 23,000.
(ii) Accrued charges at 31st March 2010 were:

	Ksh.
Telephone and postages	9000
Motor vehicle expenses	3000

- (d) Depreciation is provided annually on the cost of fixed assets held at the end of the accounting year as follows:

Fixtures and fittings	5%
Motor vehicles	20%

- (e) In February 2010 the company sold a motor vehicle which had been bought for sh.80,000 in January 2007. The only entry in the company books of accounts relating to the sale was the receipt of the sale proceeds of sh.15,000 which have been credited to motor vehicles expenses.
- (f) The directors are recommending that a dividend of 15% be paid on the ordinary shares for the year ended 31st March 2010.

Required:

The trading, profit and loss account for the year ending 31st March 2010 and a balance sheet as at that date for GB Ltd.

(Total: 20 marks)

Question three

- (a) Write short notes on the following terms commonly used in stock taking:
- (i) Bin card; (1 marks)
 - (ii) Stores ledger; (1 marks)
 - (iii) Perpetual inventory; (1 marks)
 - (iv) Periodic stocktaking; (1 marks)
- (b) A retailer commenced business on 1st January 2019 with capital of sh. 500,000. He decided to specialize in a single product line and by the end of June 2019, his purchases and sales of this product were as follows:

Date	Purchases		Sales	
	Units	Unit price (sh)	Units	Unit price (sh)
Jan.	80	5,000	70	7,000
Feb.	-	-	10	7,200
Apr.	90	6,000	75	8,000
May	75	6,500	80	8,500
June	70	7,000	70	9,000
	315		305	

Required:

- (a) Ascertain the retailer's gross profit for the period assuming the stock is valued based on First-in First-out (FIFO) basis. (8 marks)

- (b) Ascertain the new retailer's gross profit for the period assuming the stock is instead valued based on weighted average price basis.

(8 marks)

(Total: 20 marks)

Question Four

- (a) Interpretation of financial statements is important for two reasons. Which are these?

(4 marks)

- (b) The financial statements of ELT Ltd were prepared in January 2001. They included the following information:

Profit Statement for the year ended 31st December

	1999 ('000' \$)	2000 ('000' \$)
Sales	2000	3200
Less Cost of goods sold	1100	1800
Gross profit	900	1400
Less Trading expenses	450	550
Trading profit	450	850
Less Debenture interest	25	25
Net profit before taxation	425	825
Less Corporation tax	160	320
Net profit after taxation	265	505
Less Ordinary share dividend	125	175
Undistributed profits for the year	140	330

Balance Sheet as at 31st December

	1999 (('000'\$))	2000 (('000'\$))		1999 (('000'\$))	(('000' \$))	2000 (('000' \$))
Sources of capital:			Uses of capital			
Ordinary share			Fixed assets			
Capital- authorized			at cost	1000		1400

& issued(\$ 1/share)	500	500	Less:	200		250
			Depreciation			
				800		1150
Undistributed profit	350	680				
10% debentures	250	110	Current assets			
			Stock 400		550	
			Debtors 250		350	
			Cash 80	730	-	900
				1530		2050
			Less: Current Liabilities			
			Creditors 145		200	
			Taxation 160		320	
			Proposed Dividend 125		175	
			Bank over Draft -	(430)	65	(760)
	1,100	1,290		1,100		1,290

Required:

(i) Calculate any four accounting ratios - for both 1999 and 2000- which you feel would be of particular value in assessing the profitability and liquidity performance of ETL Ltd.

(8 marks)

(ii) For each case, give the correct interpretation of the calculated ratios to show the current position of ELT Ltd.

(8 marks)

(Total: 20 marks)
